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Apple Inc.

Booming iPhone 17 VS soaring memory costs

2 Feb 2026

UNITED STATES | CONSUMER | 1Q26 RESULTS

- 1Q26 revenue and PATMI were within our expectations. Revenue grew 16% YoY, fastest growth in four years, mainly driven by growth in iPhone (+23% YoY) and China market (+38% YoY). 1Q26 revenue/PATMI were at 31%/34% of our FY26e forecasts.
- Demand for the iPhone 17 lineup remains strong, with current demand outpacing supply. Management guided 2Q26e revenue growth of 13–16% YoY, supported by continued iPhone sales momentum. Rising memory costs are expected to become more pronounced in the coming quarters, posing a margin headwind in the long run.
- We raise our FY26e revenue and PATMI assumption by 2% and 3%, respectively, to account for the strong growth in iPhone 17. We have also increased our terminal growth rate from 3.0% to 3.5% to reflect the long-term monetization potential from AAPL's collaboration with Gemini, which strengthens Apple Intelligence and supports sustained ecosystem engagement. We upgrade our recommendation from REDUCE to NEUTRAL, raising the DCF target price to US$260 (prev. US$230). WACC of 6.5% remains unchanged. We remain cautious on AAPL, as the stock is still in a "prove-it" phase, particularly at a ~30.7x forward FY26 P/E. Ultimately, AAPL's ability to sustain product-led growth and execute a successful Siri rollout will be critical to underpinning its current valuation.

Results at a glance

US$ bn	1Q26	1Q25	YoY	4Q25	QoQ	Comments
Revenue	143.8	124.3	15.7%	102.5	40.3%	Fastest growth in four years
- iPhone	85.3	69.1	23.3%	49.0	73.9%	Supply constraint in iPhone 17
- Services	30.0	26.3	13.9%	28.8	4.4%	2.5bn installed base
- Americas	58.5	52.6	11.2%	44.2	32.4%	
- China	25.5	18.5	37.9%	14.5	76.1%	
Gross profit	69.2	58.3	18.8%	48.3	43.2%	
Gross Margin	48.2%	46.9%	1.3%	47.2%	1.0%	Products 40.7%, Services 76.5%
OPEX	18.4	15.4	19.0%	15.9	15.5%	
PATMI	42.1	36.3	15.9%	27.5	53.3%	

Source: Company, PSR

The Positives

+ Strong iPhone 17 cycle continues. AAPL delivered a record quarter, with total revenue of US$143.8bn (+16% YoY), driven by iPhone revenue of US$85.3bn (+23% YoY), an all-time high for the product. Demand remains strong, leaving AAPL with very lean channel inventory and a constrained supply (mainly due to constrained advanced-node (3nm-class) SoC capacity). The strength of the cycle is broad-based, supported by record upgraders across geographies and double-digit growth in switchers. AAPL expects iPhone-led momentum to continue and guided 2Q26E revenue growth of 13–16% YoY. We see the iPhone 17 cycle as durable. The upcoming Siri rollout (supported by AAPL's collaboration with Google Gemini) will further reinforce the upgrade narrative and provide additional upside. We forecast iPhone sales +14% YoY in FY26.

+ China market rebound a pleasant surprise. China revenue +37.9% YoY, marking a sharp rebound after four years of flat to negative growth. The iPhone 17 lineup has resonated strongly with Chinese consumers, evidenced by double-digit growth in in-store traffic and robust upgrader and switcher activity. Notably, this strength was achieved despite the later release of the iPhone 17 Air, and Apple Intelligence not yet being available in the Chinese market. iPhone ranked among the top three smartphones in China during the quarter. Given that China contributes ~18% of AAPL's total revenue, a rebound in the region represents a meaningful upside for AAPL.

NEUTRAL (Upgraded)

CLOSING PRICE	USD 259.48
FORECAST DIV	USD 1.08
TARGET PRICE	USD 260.00
TOTAL RETURN	0.6%

COMPANY DATA

Bloomberg CODE:	AAPL US
O/S SHARES (MN) :	14,681
MARKET CAP (SGD bn / USD bn) :	4842 / 3809
52 - WK HI/LO (SGD) :	288.62 / 169.21
3M Average Daily T/O (mn) :	47.59

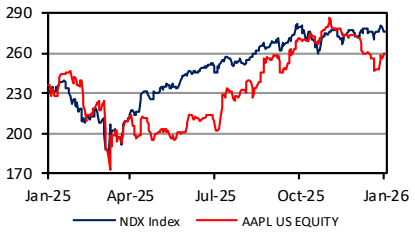
MAJOR SHAREHOLDERS

Vanguard Group Inc/The	9.7%
BlackRock Inc	7.8%
State Street Corp	4.1%

PRICE PERFORMANCE (%)

	1MTH	3MTH	1YR
APPLE	(4.6)	(3.9)	10.4
NASDAQ	1.2	(1.0)	19.8

PRICE VS. NASDAQ



Source: Bloomberg, PSR

KEY FINANCIALS

Y/E Sep, USD (bn)	FY24	FY25	FY26e	FY27e
Revenue	391.0	416.2	462.2	491.4
EBITDA	134.7	144.7	158.5	175.3
Net Profit	93.7	112.0	122.5	132.3
EPS (USD)	6.1	7.5	8.5	9.5
P/E (X)	36.7	36.2	30.7	27.3
Dividend Yield	0.4%	0.4%	0.4%	0.4%
ROE	165%	152%	140%	121%
ROA	26%	31%	33%	33%

Source: Company, PSR

VALUATION METHOD

Discounted Cash-Flow, WACC 6.5%, g 3.5%

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The Negatives

- **Rising memory prices pose a margin headwind.** Management noted that memory costs had only a minimal impact in 1Q26 but cautioned that the effect will be more pronounced in 2Q26 as market pricing for memory increases. AAPL has historically demonstrated strong cost discipline and multiple levers to offset input cost inflation, and has guided 2Q26e gross margin of 48–49%, implying a 100–200 bps expansion still (supported by favourable product mix and continued services mix uplift). But we do see continued increases in memory pricing as a potential risk to product gross margins, particularly amid elevated iPhone volumes and ongoing supply-chain tightness.

Outlook

AAPL expects 2Q26e revenue to increase by 13-16% YoY (Figure 1). Services are expected to continue growing at a double-digit rate.

AAPL is guiding to a 2Q26e Gross Margin of 48-49%, which includes the estimated cost increase in memory (1Q26: 48.2%) and OPEX of US$18.4 bn-18.7 bn, as AAPL significantly increases investments in AI (2Q25: US$15.3bn).

Figure 1: AAPL's 2Q26e guidance positive due to continued iPhone-led momentum.

Category	Apple 2Q26e	Comments
Revenue	13%-16% YoY growth	
- Services	Double-digits YoY growth	Similar to 1Q26
Gross Margin	48.0%-49.0%	
OPEX	US$18.4bn-18.7bn	2Q25 US$15.3bn, significant increase in R&D
Tax Rate	17.5%	
OI&E	US$100mn	

Source: Company, PSR

Our view: We remain cautious on AAPL, as the stock is still in a "prove-it" phase, particularly at a ~30.7x forward FY26 P/E. Near-term momentum is supported by a strong iPhone 17 cycle (its first major product upgrade since 2021) and a partnership with Gemini (which we view as a pragmatic AI strategy that accelerates feature rollout while limiting incremental AI spend and preserving ecosystem control). That said, rising memory costs represent a potential margin headwind. Ultimately, AAPL's ability to sustain product-led growth and execute a successful Siri rollout will be critical to underpinning its current valuation.

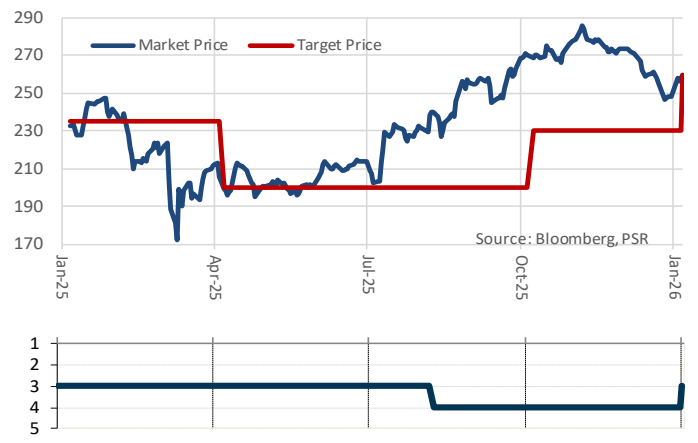
Asian Hours Trading

AAPL is available for trading on POEMS US Asian Hours, Singapore's first platform to provide trading of US Equities during Asian Market opening hours (from 9 am SGT). For more information, please scan here:

Upgrade to NEUTRAL rating with an increased target price of US$260.00

We raise our FY26e revenue and PATMI assumptions by 2% and 3%, respectively, to account for strong iPhone 17 growth. We have also increased our terminal growth rate from 3.0% to 3.5% to reflect the long-term monetization potential from AAPL's collaboration with Gemini, which strengthens Apple Intelligence and supports sustained ecosystem engagement. We upgrade our recommendation from REDUCE to NEUTRAL, raising the DCF target price to US$260 (prev. US$230). WACC of 6.5% remains unchanged.

Ratings History



PSR Rating System

Total Returns	Recommendation	Rating
> +20%	Buy	1
+5% to +20%	Accumulate	2
-5% to +5%	Neutral	3
-5% to -20%	Reduce	4
< -20%	Sell	5

Remarks

We do not base our recommendations entirely on the above quantitative return bands. We consider qualitative factors like (but not limited to) a stock's risk reward profile, market sentiment, recent rate of share price appreciation, presence or absence of stock price catalysts, and speculative undertones surrounding the stock, before making our final recommendation

Financials

Income Statement

Y/E Sep, USD mn	FY23	FY24	FY25	FY26e	FY27e
Revenue	**383,285**	**391,035**	**416,161**	**462,165**	**491,355**
Gross profit	169,148	180,683	195,201	219,107	235,439
EBITDA	**125,820**	**134,661**	**144,748**	**158,547**	**175,322**
Depreciation & amortisation	(11,519)	(11,445)	(11,698)	(11,538)	(16,534)
EBIT	**114,301**	**123,216**	**133,050**	**147,009**	**158,788**
Profit before tax	113,736	123,485	132,729	146,653	158,409
Taxation	(16,741)	(29,749)	(20,719)	(24,198)	(26,138)
PATMI	**96,995**	**93,736**	**112,010**	**122,455**	**132,272**

Per share data (USD)

Y/E Sep	FY23	FY24	FY25	FY26e	FY27e
EPS	6.13	6.08	7.46	8.47	9.53
DPS	0.95	0.99	1.03	1.08	1.14
BVPS	3.93	3.70	4.91	6.04	7.86

Cash Flow

Y/E Sep, USD mn	FY23	FY24	FY25	FY26e	FY27e
CFO					
Profit after tax	**96,995**	**93,736**	**112,010**	**122,455**	**132,272**
Adjustments	20,125	20,867	24,472	20,273	25,820
WC changes	(6,577)	3,651	(25,000)	14,233	5,936
Cashflow from ops	**110,543**	**118,254**	**111,482**	**156,961**	**164,028**
CFI					
CAPEX, net	(10,959)	(9,447)	(12,715)	(30,041)	(31,938)
Others	14,664	12,382	27,910	-	-
Cashflow from investments	**3,705**	**2,935**	**15,195**	**(30,041)**	**(31,938)**
CFF					
Share issuance, net	(77,550)	(94,949)	(90,711)	(92,433)	(98,271)
Loans, net of repayments	(5,923)	(9,958)	(6,451)	-	-
Dividends	(15,025)	(15,234)	(15,421)	(15,652)	(15,887)
Cashflow from financing	**(108,488)**	**(121,983)**	**(120,686)**	**(113,414)**	**(119,823)**
Net change in cash	5,760	(794)	5,991	13,507	12,267
CCE, end	**29,965**	**29,943**	**35,934**	**49,441**	**61,708**

Source: Company, Phillip Securities Research (Singapore) Estimates

Balance Sheet

Y/E Sep, USD mn	FY23	FY24	FY25	FY26e	FY27e
ASSETS					
Trade and other receivables	60,985	66,243	72,957	62,252	66,183
Cash & short term securities	61,555	65,171	54,697	68,204	80,471
Others	21,026	21,573	20,303	20,438	20,747
Total current assets	**143,566**	**152,987**	**147,957**	**150,893**	**167,402**
PPE & IA	43,715	45,680	49,834	61,237	76,641
Others	165,302	166,313	161,450	161,450	161,450
Total non-current assets	**209,017**	**211,993**	**211,284**	**222,687**	**238,091**
Total Assets	**352,583**	**364,980**	**359,241**	**373,580**	**405,493**
LIABILTIES					
Accounts payable	62,611	68,960	69,860	64,140	67,533
Accrued expenses	58,829	78,304	66,387	55,903	58,861
Bank borrowings	9,822	10,912	12,350	9,350	9,350
Commercial paper	5,985	9,967	7,979	7,979	7,979
Others	8,061	8,249	9,055	9,705	10,318
Total current liabilities	**145,308**	**176,392**	**165,631**	**147,078**	**154,041**
Long-term borrowings	95,281	85,750	78,328	78,328	78,328
Others	49,848	45,888	41,549	60,764	63,979
Total non-current liabilities	**145,129**	**131,638**	**119,877**	**139,092**	**142,307**
Total Liabilities	**290,437**	**308,030**	**285,508**	**286,170**	**296,348**
Equity					
Share capital	73,812	83,276	93,568	96,975	100,596
Shareholder Equity	**62,146**	**56,950**	**73,733**	**87,409**	**109,145**

Valuation Ratios

Y/E Sep	FY23	FY24	FY25	FY26e	FY27e
P/E (X)	27.9	36.7	36.2	30.7	27.3
P/B (X)	43.6	60.5	55.0	43.0	33.1
EV/EBITDA (X)	21.9	25.8	28.3	23.8	20.6
Dividend Yield	0.6%	0.4%	0.4%	0.4%	0.4%
Growth & Margins					
Growth					
Revenue	-2.8%	2.0%	6.4%	11.1%	6.3%
EBITDA	-3.6%	7.0%	7.5%	9.5%	10.6%
EBIT	-4.3%	7.8%	8.0%	10.5%	8.0%
Net profit	-2.8%	-3.4%	19.5%	9.3%	8.0%
Margins					
Gross margin	44.1%	46.2%	46.9%	47.4%	47.9%
EBITDA margin	32.8%	34.4%	34.8%	34.3%	35.7%
EBIT margin	29.8%	31.5%	32.0%	31.8%	32.3%
Net profit margin	25.3%	24.0%	26.9%	26.5%	26.9%
Key Ratios					
ROE	156.1%	164.6%	151.9%	140.1%	121.2%
ROA	27.5%	25.7%	31.2%	32.8%	32.6%
Net Gearing	12.4%	8.6%	10.0%	5.2%	1.8%
Net Debt/EBITDA (X)	0.3	0.2	0.2	0.1	0.0

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